Pfizer Inc. (NYSE: PFE US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 24.30**
TARGET PRICE	**$ 32.25**
IMPLIED UPSIDE	**+33%**

Investment Highlights

✓ Diversified portfolio across multiple therapeutic areas ✓ Strong pharmaceutical pipeline supporting future growth ✓ Attractive dividend supported by robust cash generation ✓ Low valuation following post-pandemic earnings reset ✓ Undervalued relative to long-term earnings potential

Prepared by

Shrivishnu Rao

July 2026

EXECUTIVE SUMMARY

A. Investment Case

Our investment thesis is centred around Pfizer's attractive valuation, resilient free cash flow generation, and sustainable shareholder returns. Despite the normalization of revenues following the exceptional demand generated during the COVID-19 period, the market continues to undervalue Pfizer's diversified pharmaceutical portfolio, robust research pipeline, and strong balance sheet. The company's leadership across oncology, vaccines, immunology and rare diseases provides multiple long-term growth avenues while reducing dependence on any single therapeutic franchise.

Furthermore, Pfizer satisfies our investment philosophy of identifying fundamentally strong businesses trading at attractive valuations. The company currently trades at a relatively low earnings multiple while offering an attractive dividend yield, providing investors with both capital appreciation potential and recurring income. We believe the current valuation does not fully reflect Pfizer's long-term earnings capability or its ability to generate significant free cash flows.

B. Catalysts

Several near and medium-term catalysts could unlock shareholder value over the investment horizon. Continued commercialization of recently launched products, expansion of the oncology portfolio through internal research and strategic acquisitions, and the successful development of late-stage pipeline assets are expected to support future earnings growth. Furthermore, management's continued focus on operational efficiency, disciplined capital allocation and shareholder distributions through dividends enhances investor confidence. As post-pandemic earnings stabilize, improving investor sentiment towards large-cap pharmaceutical companies may also contribute to a re-rating of the company's valuation.

C. Fundamentals

Our analysis of Pfizer's business, industry and financial statements reveals a financially resilient pharmaceutical company with strong operating profitability, healthy cash generation and an attractive shareholder return profile. Revenue is projected at **USD 61.8 billion in FY2026**, with EBITDA of approximately **USD 22.4 billion**, translating into an **EBITDA margin of approximately 36%**. Despite the expected moderation in post-pandemic revenues, operating profitability remains robust, with **EBIT margins consistently above 30%** throughout the forecast period, reflecting the company's efficient cost structure and disciplined expense management.

Pfizer is expected to generate approximately **USD 17.1 billion of Free Cash Flow to the Firm in FY2026**, while maintaining **free cash flow margins in excess of 25%**, highlighting its ability to consistently convert earnings into cash. The company also offers an attractive **dividend yield of approximately 7%**, while trading at a **forward P/E multiple of around 9x**, making it one of the more attractively valued companies within the global pharmaceutical sector. Supported by a diversified portfolio across oncology, vaccines,

immunology and specialty medicines, continued investment in research and development, and strong cash generation, Pfizer remains well positioned to deliver sustainable long-term shareholder returns.

D. Valuation

Our valuation incorporates both an intrinsic valuation approach through the Discounted Cash Flow (Perpetuity Growth) methodology and a market-based EV/EBITDA multiple valuation. The Discounted Cash Flow analysis estimates an intrinsic value of **USD 32.25 per share**, representing an upside potential of approximately **32.8%** from the current market price of **USD 24.30**. The EV/EBITDA valuation produces a more conservative valuation of **USD 21.80 per share**, reflecting prevailing market multiples currently assigned to the pharmaceutical sector.

While the market-based valuation suggests limited near-term appreciation, we place greater reliance on the Discounted Cash Flow methodology, as it better captures Pfizer's long-term cash-generating capability, diversified product portfolio and intrinsic business value. Consequently, we believe the current market price fails to fully reflect the company's long-term earnings potential.

E. Recommendation Summary

Our recommendation is **BUY**.

The company exhibits strong business fundamentals, healthy free cash flow generation, an attractive dividend yield and a conservative valuation relative to its long-term intrinsic value. Although the relative valuation approach indicates that the market currently applies conservative multiples to the pharmaceutical sector, the intrinsic valuation suggests meaningful upside supported by Pfizer's cash-generating ability and long-term growth prospects.

Based on our analysis, we recommend accumulating the stock at current market levels with an investment horizon of **three to five years**. Given the attractive risk-return profile and defensive characteristics of the pharmaceutical industry, Pfizer represents a suitable long-term holding within a diversified value-oriented equity portfolio.

BUSINESS ANALYSIS

A. Business Overview

Founded in **1849**, Pfizer Inc. is one of the world's largest research-based biopharmaceutical companies headquartered in **New York, United States**. The company discovers, develops, manufactures and commercializes innovative medicines and vaccines across multiple therapeutic areas including oncology, immunology, cardiology, internal medicine, rare diseases, inflammation and infectious diseases.

Pfizer operates globally in more than **180 countries** and serves patients through an extensive commercial and distribution network. The acquisition of Seagen has further strengthened Pfizer's oncology portfolio, positioning the company as one of the leading cancer drug manufacturers globally.

The company's revenues are primarily generated through the sale of patented prescription medicines, vaccines and specialty therapeutics. While COVID-19 related revenues have normalized significantly following the pandemic, Pfizer continues to diversify its product portfolio through internal research, strategic acquisitions and pipeline expansion.

B. Strategy & Key Value Drivers

Pfizer's long-term strategy focuses on innovation, disciplined capital allocation and expanding its portfolio of high-value medicines. The key value drivers of the business are:

- **Research & Development Leadership:** Pfizer consistently invests billions of dollars annually into research and development to strengthen its pipeline of innovative medicines and maintain long-term revenue growth.
- **Patent-Protected Product Portfolio:** The company generates significant revenues from patented drugs and vaccines, allowing premium pricing and attractive operating margins until patent expiry.
- **Strategic Acquisitions:** Recent acquisitions, particularly Seagen, expand Pfizer's oncology capabilities and diversify future revenue streams beyond COVID-related products.
- **Global Commercial Presence:** Pfizer benefits from one of the largest pharmaceutical sales and distribution networks globally, allowing rapid commercialization of newly approved therapies.
- **Strong Cash Flow Generation:** Robust operating cash flows enable continued investment in research, acquisitions, dividend payments and share repurchases while maintaining financial flexibility.

C. Business Moat & Sustainable Competitive Advantage

Pfizer possesses several competitive advantages that support its long-term market leadership:

- **Extensive Intellectual Property Portfolio:** Thousands of patents and regulatory exclusivity protect Pfizer's innovative medicines from generic competition during their patent lives.
- **Scale in Research & Development:** Pfizer's financial strength allows continuous investment in drug discovery, clinical development and next-generation therapeutics, creating a significant barrier to entry.
- **Diversified Product Portfolio:** Revenue is generated across multiple therapeutic areas, reducing dependence on any single product and improving resilience against patent expirations.
- **Global Brand Recognition and Regulatory Expertise:** Decades of successful regulatory approvals and physician trust enable efficient commercialization of new medicines across international markets.
- **Manufacturing and Distribution Scale:** Pfizer operates one of the world's largest pharmaceutical manufacturing and supply chain networks, allowing reliable product availability and operational efficiencies.

D. SWOT Analysis

Strengths

- Global brand across 180+ countries
- Diversified portfolio of innovative medicines and vaccines
- Robust R&D pipeline and strong operating cash flow
- Expanded oncology platform via Seagen acquisition

Weaknesses

- Dependence on successful pipeline commercialisation
- Revenue decline as COVID-19 sales normalised
- Exposure to patent expirations
- Seagen integration and restructuring costs

Opportunities

- Oncology growth via Seagen's ADC platform
- Expansion into obesity, rare disease and biologics
- Aging population raises healthcare demand
- Licensing deals and M&A to refresh the pipeline

Threats

- Patent cliffs from generic and biosimilar entry
- Government and payer pricing pressure
- Regulatory or clinical trial delays
- Competition from Merck, J&J, BMS, Lilly, AbbVie

INDUSTRY ANALYSIS

A. Sector Outlook

The global pharmaceutical industry is expected to witness steady long-term growth, supported by an ageing population, increasing prevalence of chronic diseases, rising healthcare expenditure and continuous innovation in biotechnology. Demand for novel therapies in oncology, immunology, rare diseases and obesity continues to drive research investments across the industry.

The industry is also benefiting from advancements in precision medicine, artificial intelligence-assisted drug discovery and biologics. However, pharmaceutical companies continue to face pricing pressure from governments, increasing regulatory scrutiny, patent expirations and competition from generic and biosimilar manufacturers.

We believe Pfizer is well positioned to benefit from these long-term structural tailwinds due to its diversified product portfolio, strong research capabilities and expanding oncology pipeline following the acquisition of Seagen.

B. Business Cycle

The pharmaceutical industry generally exhibits **defensive characteristics**, making it less sensitive to economic downturns compared to cyclical industries. Demand for prescription medicines and vaccines remains relatively stable regardless of macroeconomic conditions, as healthcare spending is largely non-discretionary.

The pharmaceutical business cycle can broadly be categorized as follows:

Expansion Phase: During periods of economic growth, governments and healthcare providers increase healthcare spending, supporting higher demand for innovative medicines and greater investment in pharmaceutical research.

Peak Phase: Strong product launches, favourable reimbursement policies and successful commercialization of new therapies result in robust revenue growth and expanding operating margins.

Contraction Phase: Economic uncertainty may delay healthcare spending in certain markets, while pricing reforms, reimbursement pressure and patent expirations can moderate revenue growth.

Recovery Phase: Recovery is typically driven by new product approvals, successful acquisitions, pipeline commercialization and expansion into high-growth therapeutic areas.

We believe Pfizer is currently transitioning into a recovery and growth phase following the normalization of COVID-19 revenues. Future growth is expected to be increasingly driven by oncology, specialty medicines and new product launches rather than pandemic-related products.

C. Supply Chain Analysis

Pfizer operates one of the world's largest pharmaceutical manufacturing and distribution networks, with production facilities and supply operations spanning North America, Europe, Asia and emerging markets. The company maintains a diversified manufacturing footprint to ensure uninterrupted supply of medicines and vaccines across global markets.

Recent developments affecting Pfizer's supply chain include:

- Continued investment in biologics manufacturing and advanced production technologies.
- Integration of Seagen's oncology manufacturing capabilities following the acquisition.
- Increased focus on supply chain resilience through geographic diversification and digital manufacturing initiatives.
- Regulatory requirements for quality assurance and product traceability across global markets.

Overall, Pfizer's diversified manufacturing network, strong supplier relationships and global distribution capabilities provide significant operational resilience while supporting future product commercialization.

D. Peer Analysis

Ticker	Name	Mkt Cap (USD)	EV	EV/EBITDA	P/E	P/FCF	Dividend Yield
PFE US Equity	PFIZER INC	142543.0987	194226.0987	7.470521892	9.51909003	14.99823	6.87175401
BMY US Equity	BRISTOL-MYERS SQUIBB CO	133409.6942	166998.6942	8.664004886	10.08163603	11.63333	3.843209295
MRK US Equity	MERCK & CO. INC.	321571.1388	365039.1388	16.37313922	28.25761153	22.98636	2.58044689
ABBV US Equity	ABBVIE INC	443358.9905	506869.9905	16.61487496	24.72119474	22.23236	2.721766129
LLY US Equity	ELI LILLY & CO	1081910.197	1119998.197	30.92713051	37.45609595	87.11053	0.56230633
JNJ US Equity	JOHNSON & JOHNSON	617777.5053	646055.5053	17.94199915	27.65842159	27.83744	2.043442566

.

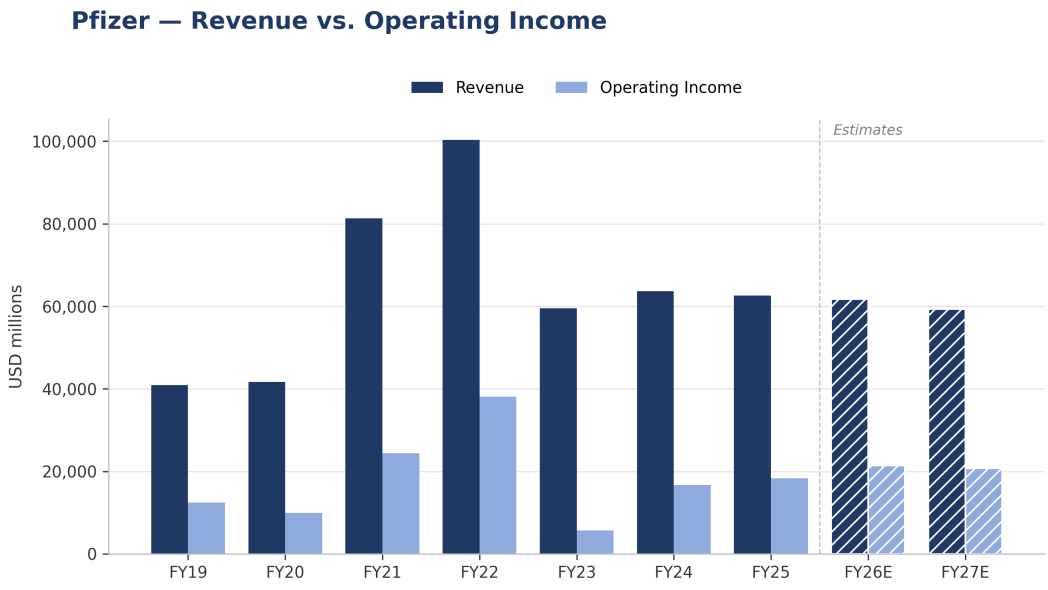
FUNDAMENTAL ANALYSIS

A. Income Statement Analysis

Pfizer's financial performance over the past several years reflects the exceptional demand generated during the COVID-19 pandemic, followed by a normalization phase as pandemic-related product sales declined. Revenue increased significantly from **USD 40.9 billion in FY2019** to a peak of **USD 100.3 billion in FY2022**, primarily driven by strong global demand for Comirnaty and Paxlovid. However, revenue declined to **USD 59.6 billion in FY2023** before recovering modestly to **USD 63.6 billion in FY2024**, supported by portfolio diversification and contributions from recently acquired businesses.

Despite the post-pandemic decline in sales, Pfizer has maintained healthy profitability. Gross margin improved from **58.1% in FY2023** to **71.9% in FY2024**, while operating margin recovered from **2.1% to 19.5%** over the same period as COVID-related inventory charges and one-off items subsided. EBITDA margin also improved to **31.6%**, reflecting improved operating efficiency and cost discipline.

Looking ahead, Bloomberg consensus estimates suggest relatively stable revenues over the forecast period, indicating that future earnings growth will increasingly depend on successful commercialization of pipeline products, oncology expansion and continued operational efficiencies rather than pandemic-related products.



Pfizer Inc (PFE US) - BBG Adjusted

In Millions of USD except Per Share	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/29/2026	FY 2026 Est 12/31/2026	FY 2027 Est 12/31/2027
Office on the web Frame										
Revenue	**40,905.0**	**41,651.0**	**81,288.0**	**100,330.0**	**59,554.0**	**63,627.0**	**62,579.0**	**63,315.0**	**61,781.8**	**59,364.8**
+ Sales & Services Revenue	40,905.0	41,651.0	81,288.0	91,793.0	50,914.0	53,816.0	51,663.0	52,085.0		
+ Other Revenue	—	—	—	8,537.0	8,640.0	9,811.0	10,916.0	11,230.0		
- Cost of Revenue	7,847.0	8,385.0	30,686.0	34,097.0	23,989.0	16,420.0	15,140.0	15,953.0		
+ Cost of Goods & Services	7,847.0	8,385.0	30,686.0	34,097.0	23,989.0	16,420.0	15,140.0	15,953.0		
Gross Profit	**33,058.0**	**33,266.0**	**50,602.0**	**66,233.0**	**35,565.0**	**47,207.0**	**47,439.0**	**47,362.0**	**46,414.8**	**44,813.9**
+ Other Operating Income	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
- Operating Expenses	20,617.0	23,326.0	26,169.0	28,087.0	29,830.0	30,537.0	29,071.0	27,950.0		
+ Selling, General & Admin	12,419.0	11,106.0	12,109.0	13,049.0	14,446.0	14,617.0	13,642.0	13,548.0		
+ Research & Development	8,385.0	8,872.0	10,360.0	11,428.0	10,679.0	10,822.0	10,437.0	10,724.0		
+ Other Operating Expense	-187.0	3,348.0	3,700.0	3,610.0	4,705.0	5,098.0	4,992.0	3,678.0		
Operating Income (Loss)	**12,441.0**	**9,940.0**	**24,433.0**	**38,146.0**	**5,735.0**	**16,670.0**	**18,368.0**	**19,412.0**	**21,385.1**	**20,696.0**
- Non-Operating (Income) Loss	3,911.0	-2,043.0	-2,374.0	-1,882.0	-1,460.0	1,983.0	-3,641.0	1,037.0		
+ Interest Expense, Net	1,348.0	1,376.0	1,255.0	987.0	585.0	2,546.0	2,068.0	2,113.0		
+ Interest Expense	*1,573.0*	*1,449.0*	*1,291.0*	*1,238.0*	*2,209.0*	*3,091.0*	*2,671.0*	*2,688.0*		
- Interest Income	*225.0*	*73.0*	*36.0*	*251.0*	*1,624.0*	*545.0*	*603.0*	*575.0*		
+ Foreign Exch (Gain) Loss	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ Other Non-Op (Income) Loss	2,563.0	-3,419.0	-3,629.0	-2,869.0	-2,045.0	-563.0	-5,709.0	-1,076.0		
Pretax Income (Loss), Adjusted	**8,530.0**	**11,983.0**	**26,807.0**	**40,028.0**	**7,195.0**	**14,687.0**	**22,009.0**	**18,375.0**	**19,895.0**	**19,076.4**

Balance Sheet Analysis

Pfizer maintains a well-capitalised balance sheet supported by a strong liquidity position despite the debt incurred following the Seagen acquisition. Cash, cash equivalents and short-term investments increased from **USD 12.7 billion in FY2023** to **USD 20.5 billion in FY2024**, before normalising to **USD 13.6 billion in FY2025**, demonstrating the company's ability to replenish liquidity following a major acquisition.

Although leverage increased after the acquisition, Pfizer continues to generate sufficient operating cash flows and maintains investment-grade credit quality, significantly reducing refinancing risk. The company's strong balance sheet provides the financial flexibility to continue investing in research and development, pursue strategic acquisitions and maintain its shareholder return programme.

For a value-oriented investment strategy, a financially resilient balance sheet is particularly attractive as it enhances dividend sustainability while reducing downside risk during periods of earnings volatility.

Pfizer Inc (PFE US) - Standardized

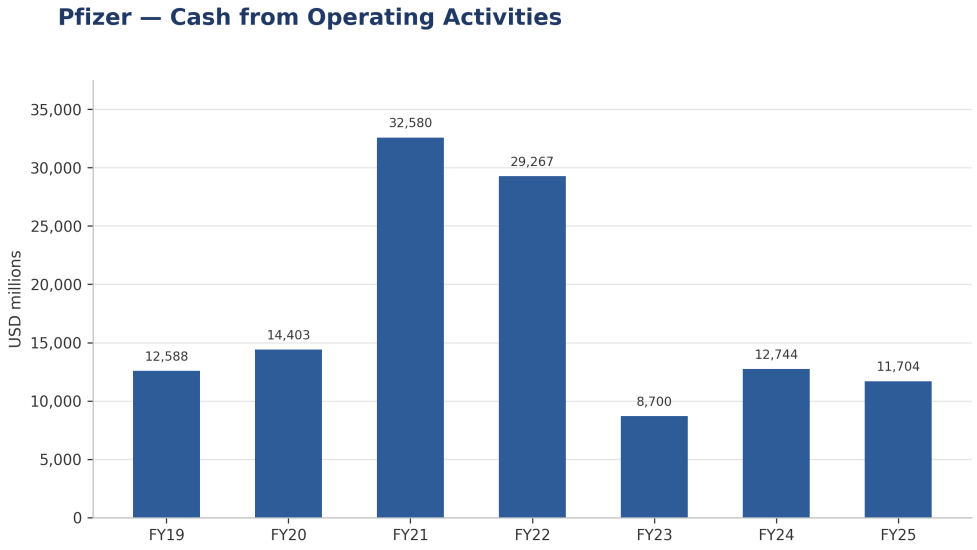
In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Office on the web Frame										
	19,992.0	18,833.0	9,646.0	12,223.0	31,069.0	22,732.0	12,690.0	20,477.0	13,596.0	
+ Cash & Cash Equivalents	2,595.0	1,342.0	1,139.0	1,121.0	1,786.0	1,944.0	416.0	2,853.0	1,043.0	1,142.0
+ ST Investments	15,255.0	18,650.0	17,694.0	8,525.0	10,437.0	29,125.0	22,316.0	9,837.0	19,434.0	12,454.0
+ Accounts & Notes Receiv	8,225.0	8,221.0	8,025.0	6,772.0	7,913.0	11,479.0	10,952.0	11,177.0	11,463.0	11,874.0
+ Accounts Receivable, Net	8,225.0	8,221.0	8,025.0	6,772.0	7,913.0	11,479.0	10,952.0	11,177.0	11,463.0	11,874.0
+ Notes Receivable, Net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Inventories	6,783.0	7,579.0	7,509.0	7,068.0	8,019.0	9,059.0	8,981.0	10,190.0	10,851.0	10,654.0
+ Raw Materials	793.0	788.0	546.0	672.0	716.0	994.0	859.0	1,007.0	976.0	907.0
+ Work In Process	3,696.0	3,908.0	4,701.0	4,131.0	4,436.0	4,424.0	5,519.0	5,688.0	6,101.0	5,634.0
+ Finished Goods	2,294.0	2,883.0	2,262.0	2,265.0	2,867.0	3,641.0	2,603.0	3,495.0	3,774.0	4,113.0
+ Other Inventory	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other ST Assets	6,091.0	5,349.0	15,559.0	9,317.0	6,912.0	8,086.0	8,594.0	9,276.0	7,567.0	6,774.0
+ Derivative & Hedging Assets	566.0	338.0	574.0	466.0	252.0	708.0	714.0	298.0	1,056.0	416.0
+ Assets Held-for-Sale	801.0	12.0	9,725.0	4,224.0	—	—	—	—	—	—
+ Deferred Tax Assets	3,041.0	3,050.0	3,374.0	2,736.0	3,264.0	4,266.0	3,577.0	3,978.0	3,314.0	3,967.0
+ Misc ST Assets	1,683.0	1,949.0	1,886.0	1,891.0	3,396.0	3,112.0	4,303.0	5,000.0	3,197.0	2,391.0
Total Current Assets	**38,949.0**	**41,141.0**	**49,926.0**	**32,803.0**	**35,067.0**	**59,693.0**	**51,259.0**	**43,333.0**	**50,358.0**	**42,898.0**
+ Property, Plant & Equip, Net	13,318.0	13,865.0	13,385.0	14,257.0	15,131.0	17,721.0	19,275.0	21,865.0	20,682.0	21,531.0
+ Property, Plant & Equip	28,125.0	30,037.0	29,976.0	29,247.0	29,792.0	32,795.0	34,449.0	37,910.0	37,165.0	38,917.0
- Accumulated Depreciation	14,807.0	16,172.0	16,591.0	14,990.0	14,661.0	15,074.0	15,174.0	16,045.0	16,483.0	17,386.0
+ LT Investments & Receivables	7,116.0	7,015.0	2,767.0	20,147.0	20,262.0	21,526.0	15,069.0	15,368.0	2,227.0	1,621.0
+ LT Investments	7,116.0	7,015.0	2,767.0	20,147.0	20,262.0	21,526.0	15,069.0	15,368.0	2,227.0	1,621.0
+ Other LT Assets	112,232.0	109,776.0	93,344.0	100,387.0	83,769.0	82,536.0	111,602.0	145,935.0	140,129.0	142,110.0
+ Total Intangible Assets	107,097.0	104,692.0	88,622.0	82,138.0	77,893.0	74,354.0	94,746.0	132,681.0	123,938.0	124,994.0
+ *Goodwill*	*54,449.0*	*55,952.0*	*53,411.0*	*48,202.0*	*49,556.0*	*49,208.0*	*51,375.0*	*67,783.0*	*68,527.0*	*71,264.0*
+ *Other Intangible Assets*	*52,648.0*	*48,740.0*	*35,211.0*	*33,936.0*	*28,337.0*	*25,146.0*	*43,371.0*	*64,898.0*	*55,411.0*	*53,730.0*
+ Deferred Tax Assets	1,812.0	1,855.0	1,924.0	1,911.0	2,383.0	3,341.0	6,693.0	3,706.0	8,662.0	9,699.0
+ Derivative & Hedging Assets	689.0	484.0	567.0	527.0	122.0	258.0	364.0	402.0	460.0	116.0
+ Prepaid Pension Costs	300.0	454.0	401.0	453.0	522.0	1,927.0	1,451.0	1,920.0	1,992.0	2,444.0
+ Misc LT Assets	2,334.0	2,291.0	1,830.0	15,358.0	2,849.0	2,656.0	8,348.0	7,226.0	5,077.0	4,857.0
Total Noncurrent Assets	**132,666.0**	**130,656.0**	**109,496.0**	**134,791.0**	**119,162.0**	**121,783.0**	**145,946.0**	**183,168.0**	**163,038.0**	**165,262.0**
Total Assets	**171,615.0**	**171,797.0**	**159,422.0**	**167,594.0**	**154,229.0**	**181,476.0**	**197,205.0**	**226,501.0**	**213,396.0**	**208,160.0**
Liabilities & Shareholders' Equity										
+ Payables & Accruals	9,404.0	9,358.0	10,383.0	9,361.0	10,543.0	12,425.0	14,106.0	14,207.0	14,818.0	14,398.0
+ Accounts Payable	4,536.0	4,656.0	4,674.0	3,887.0	4,283.0	5,578.0	6,809.0	6,710.0	5,633.0	5,240.0
+ Accrued Taxes	437.0	477.0	1,265.0	980.0	1,049.0	1,266.0	1,587.0	2,349.0	2,910.0	3,103.0
+ Interest & Dividends Payable	1,944.0	2,029.0	2,047.0	2,104.0	2,162.0	2,249.0	2,303.0	2,372.0	2,437.0	2,445.0
+ Other Payables & Accruals	2,487.0	2,196.0	2,397.0	2,390.0	3,049.0	3,332.0	3,407.0	2,776.0	3,838.0	3,610.0
+ ST Debt	10,688.0	9,953.0	8,831.0	16,464.0	3,023.0	2,690.0	3,565.0	10,877.0	7,302.0	3,484.0
+ ST Borrowings	6,463.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ ST Lease Liabilities	0.0	0.0	0.0	269.0	320.0	449.0	620.0	527.0	356.0	330.0
+ *ST Finance Leases*	*0.0*	*0.0*	*0.0*	—	*0.0*	—	—	—	—	—
+ *ST Operating Leases*	—	—	—	*269.0*	*320.0*	*449.0*	*620.0*	*527.0*	*356.0*	*330.0*
+ Current Portion of LT Debt	4,225.0	9,953.0	8,831.0	16,195.0	2,703.0	2,241.0	2,945.0	10,350.0	6,946.0	3,154.0
+ Other ST Liabilities	11,023.0	11,116.0	12,644.0	11,479.0	12,354.0	27,557.0	24,467.0	22,710.0	20,875.0	19,102.0
+ Deferred Revenue	0.0	0.0	0.0	0.0	1,113.0	3,067.0	2,520.0	2,700.0	1,511.0	784.0
+ Derivatives & Hedging	1,247.0	202.0	83.0	114.0	501.0	476.0	704.0	420.0	245.0	523.0
+ Misc ST Liabilities	9,776.0	10,914.0	12,561.0	11,365.0	10,740.0	24,014.0	21,243.0	19,590.0	19,119.0	17,795.0
Total Current Liabilities	**31,115.0**	**30,427.0**	**31,858.0**	**37,304.0**	**25,920.0**	**42,672.0**	**42,138.0**	**47,794.0**	**42,995.0**	**36,984.0**
+ LT Debt	31,398.0	33,538.0	32,909.0	36,985.0	38,241.0	38,705.0	35,481.0	64,164.0	59,691.0	63,932.0
+ LT Borrowings	31,398.0	33,538.0	32,909.0	35,955.0	37,133.0	36,195.0	32,884.0	61,538.0	57,405.0	61,641.0
+ LT Lease Liabilities	0.0	0.0	0.0	1,030.0	1,108.0	2,510.0	2,597.0	2,626.0	2,286.0	2,291.0
+ *LT Finance Leases*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	—	—	—	—	—
+ *LT Operating Leases*	—	—	—	*1,030.0*	*1,108.0*	*2,510.0*	*2,597.0*	*2,626.0*	*2,286.0*	*2,291.0*
+ Other LT Liabilities	49,262.0	36,176.0	30,897.0	29,859.0	26,595.0	22,637.0	23,669.0	25,255.0	22,213.0	20,469.0
+ Accrued Liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Pension Liabilities	8,172.0	7,430.0	6,610.0	6,217.0	5,411.0	3,724.0	2,251.0	2,167.0	2,115.0	2,041.0
+ *Pensions*	*6,406.0*	*5,926.0*	*5,272.0*	*5,291.0*	*4,766.0*	*3,489.0*	*2,173.0*	*2,093.0*	*2,041.0*	*1,966.0*
+ *Other Post-Ret Benefits*	*1,766.0*	*1,504.0*	*1,338.0*	*926.0*	*645.0*	*235.0*	*78.0*	*74.0*	*74.0*	*75.0*
+ Deferred Revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Deferred Tax Liabilities	30,753.0	3,900.0	3,700.0	5,652.0	4,063.0	349.0	1,023.0	640.0	2,122.0	2,401.0
+ Derivatives & Hedging	444.0	490.0	942.0	604.0	599.0	405.0	1,185.0	1,000.0	1,121.0	2,725.0
+ Misc LT Liabilities	9,893.0	24,356.0	19,645.0	17,386.0	16,522.0	18,159.0	19,210.0	21,448.0	16,855.0	13,302.0
Total Noncurrent Liabilities	**80,660.0**	**69,714.0**	**63,806.0**	**66,844.0**	**64,836.0**	**61,342.0**	**59,150.0**	**89,419.0**	**81,904.0**	**84,401.0**
Total Liabilities	**111,775.0**	**100,141.0**	**95,664.0**	**104,148.0**	**90,756.0**	**104,014.0**	**101,288.0**	**137,213.0**	**124,899.0**	**121,385.0**

C. Cash Flow Analysis

Pfizer has consistently demonstrated strong cash generation capabilities despite the post-pandemic normalization of earnings. Operating cash flow reached **USD 32.6 billion in FY2021** and remained substantial at **USD 11.7 billion in FY2025**, reflecting the resilience of the company's underlying pharmaceutical business.

Importantly, Pfizer has continued to generate sufficient free cash flow to support shareholder distributions. Free cash flow amounted to approximately **USD 9.1 billion** in FY2025, broadly matching annual dividend payments of **USD 9.8 billion**, highlighting management's commitment to maintaining a stable dividend policy during a period of earnings transition.

From a value investing perspective, Pfizer's ability to consistently convert earnings into cash and return a significant proportion of those cash flows to shareholders through dividends aligns closely with the objectives of an income-oriented investment strategy. The company's strong cash generation provides confidence that shareholder returns remain supported even as COVID-related revenues continue to normalize.



In Millions of USD except Per Share 12 Months Ending	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/29/2026
Cash from Operating Activities										
+ Net Income	21,308.0	11,153.0	16,026.0	9,159.0	21,979.0	31,372.0	2,119.0	8,031.0	7,771.0	7,490.0
+ Depreciation & Amortization	6,269.0	6,384.0	5,755.0	4,681.0	5,191.0	5,064.0	6,290.0	7,013.0	6,592.0	6,587.0
+ Non-Cash Items	-12,169.0	-702.0	-9,155.0	-362.0	10,179.0	-8,662.0	-3,819.0	1,042.0	342.0	721.0
+ Stock-Based Compensation	840.0	949.0	687.0	755.0	1,182.0	872.0	525.0	877.0	799.0	901.0
+ Deferred Income Taxes	-13,070.0	-2,205.0	561.0	-1,575.0	-4,293.0	-3,764.0	-3,442.0	-2,102.0	-2,133.0	-1,482.0
+ Other Non-Cash Adj	61.0	554.0	-10,403.0	458.0	13,290.0	-5,770.0	-902.0	2,267.0	1,676.0	1,302.0
+ Chg in Non-Cash Work Cap	1,394.0	-1,008.0	-5,610.0	-2,938.0	-4,860.0	1,499.0	4,095.0	-3,331.0	-2,976.0	-2,789.0
+ (Inc) Dec in Accts Receiv	259.0	-644.0	-1,124.0	-1,275.0	-3,811.0	261.0	347.0	-109.0	-263.0	
+ (Inc) Dec in Inventories	-357.0	-717.0	-1,071.0	-778.0	-1,125.0	592.0	5,030.0	-854.0	561.0	
+ Inc (Dec) in Accts Payable	46.0	431.0	-341.0	355.0	1,242.0	1,191.0	-300.0	-1,023.0	-469.0	
+ Inc (Dec) in Other	1,446.0	-78.0	-3,074.0	-1,240.0	-1,166.0	-545.0	-982.0	-1,345.0	-2,805.0	-2,789.0
+ Net Cash From Disc Ops	—	—	5,572.0	3,863.0	91.0	-6.0	15.0	-11.0	-25.0	
Cash from Operating Activities	**16,802.0**	**15,827.0**	**12,588.0**	**14,403.0**	**32,580.0**	**29,267.0**	**8,700.0**	**12,744.0**	**11,704.0**	**11,984.0**

D. Return on Capital Analysis

Pfizer's return metrics reflect the impact of both the pandemic-driven earnings cycle and subsequent normalization. Return on Common Equity increased significantly during the COVID period, reaching **36.3% in FY2022**, before declining to **9.1% in FY2024** and **8.9% in FY2025** as earnings normalized.

Similarly, Return on Assets recovered from **1.0% in FY2023** to approximately **3.7% in FY2025**, while Return on Invested Capital improved from **1.2%** to **8.3%** over the same period. These improvements indicate strengthening operating efficiency following the post-pandemic transition.

Although current return metrics remain below pandemic peaks, Pfizer continues to generate healthy returns relative to many large-cap pharmaceutical peers. Continued execution of its oncology strategy, pipeline commercialization and operational efficiencies are expected to support gradual improvement in capital returns over the medium term.

In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Returns										
Return on Common Equity	11.61	32.58	16.56	25.33	14.50	31.30	36.30	2.29	9.06	8.90
Return on Assets	4.26	12.41	6.73	9.80	5.69	13.09	16.57	1.00	3.65	3.69
Return on Capital	8.04	20.44	11.26	15.78	9.54	20.77	25.63	2.61	6.57	6.41
Return on Invested Capital	8.14	17.99	11.46	12.34	7.38	14.02	25.19	1.25	7.38	8.32

DISCOUNTED CASH FLOW (DCF) VALUATION

A. Free Cash Flow Projection

Pfizer's valuation is based on a six-year free cash flow forecast from FY2026 to FY2031. Revenue is projected to decline from **USD 61.78 billion in FY2026** to **USD 54.97 billion in FY2031**, reflecting a period of moderate revenue contraction before stabilising. Revenue growth is forecast at **-1.27% in FY2026**, **-3.91% in FY2027**, **-7.35% in FY2028**, **-2.30% in FY2029**, before returning to positive growth of **1.07% in FY2030** and **1.22% in FY2031**. EBITDA is expected to remain resilient, declining from **USD 22.42 billion in FY2026** to **USD 19.31 billion in FY2031**, while EBITDA margins remain relatively stable between **32.7% and 38.6%** throughout the forecast period. Free cash flow is projected at **USD 17.12 billion in FY2026**, gradually declining to **USD 13.78 billion in FY2031**, with free cash flow margins remaining healthy between **21.8% and 27.8%**, demonstrating Pfizer's continued ability to generate strong cash flows despite near-term revenue pressures.

In Millions of USD		Dec 20 A	Dec 21 A	Dec 22 A	Dec 23 A	Dec 24 A	Dec 25 A	Dec 26 A	Dec 27 A	Dec 28 A	Dec 29 A	Dec 30 A	Dec 31 A	Year 5
Revenue (Estimate Comparable)		**41,651**	**81,288**	**100,330**	**59,554**	**63,627**	**62,579**	**61,782**	**59,365**	**54,999**	**53,733**	**54,310**	**54,973**	
Revenue (Adjusted)		**41,651**	**81,288**	**100,330**	**59,554**	**63,627**	**62,579**							
% YoY Growth	Edit Row			23%	-41%	7%	-2%	-1%	-4%	-7%	-2%	1%	1%	
(-) Cost of Revenue		8,385	30,686	34,097	23,989	16,420	15,140	15,367	14,551	13,641	13,279	13,277	13,286	
(-) Cost of Revenue (GAAP)		8,484	30,821	34,344	24,954	17,851	16,067							
% of Revenue		20%	38%	34%	40%	26%	24%	25%	25%	25%	25%	24%	24%	
(=) Gross Profit		**33,266**	**50,602**	**66,233**	**35,565**	**47,207**	**47,439**	**46,415**	**44,814**	**41,358**	**40,455**	**41,033**	**41,687**	
% Margin	Edit Row	80%	62%	66%	60%	74%	76%	75%	75%	75%	75%	76%	76%	
(-) Operating Expenses/Income		23,326	26,169	28,087	29,830	30,537	29,071	25,030	24,118	23,299	23,624	23,673	23,878	
% of Revenue	Edit Row	56%	32%	28%	50%	48%	46%	41%	41%	42%	44%	44%	43%	
% YoY Growth			12%	7%	6%	2%	-5%	-14%	-4%	-3%	1%	0%	1%	
(=) Operating Income		**9,940**	**24,433**	**38,146**	**5,735**	**16,670**	**18,368**	**21,385**	**20,696**	**18,059**	**16,831**	**17,360**	**17,809**	
% Margin		24%	30%	38%	10%	26%	29%	35%	35%	33%	31%	32%	32%	
(-) Tax on Operating Income		**1,319**	**3,258**	**4,457**	**151**	**1,559**	**2,079**	**1,944**	**1,754**	**1,435**	**1,534**	**1,530**	**1,547**	
% Tax Rate	Edit Row	11%	12%	11%	2%	11%	9%	9%	8%	8%	9%	9%	9%	
(=) NOPAT		**8,621**	**21,175**	**33,689**	**5,584**	**15,111**	**16,289**	**19,441**	**18,942**	**16,624**	**15,296**	**15,830**	**16,261**	
% Margin		21%	26%	34%	9%	24%	26%	31%	32%	30%	28%	29%	30%	
(+) Depreciation & Amortization		4,681	5,191	5,064	6,290	7,013	6,592	1,038	2,219	2,543	745	778	1,499	
% of Revenue	Edit Row	11%	6%	5%	11%	11%	11%	2%	4%	5%	1%	1%	3%	
% YoY Growth			11%	-2%	24%	11%	-6%	-84%	114%	15%	-71%	4%	93%	
(-) Capital Expenditure		2,226	2,711	3,236	3,907	2,909	2,629	2,403	2,559	2,458	2,349	2,299	2,299	
% of Revenue	Edit Row	5%	3%	3%	7%	5%	4%	4%	4%	4%	4%	4%	4%	
% YoY Growth			22%	19%	21%	-26%	-10%	-9%	6%	-4%	-4%	-2%	0%	
(-) Changes in Net Working Capital		(2,370)	(11,305)	1,312	3,772	462	1,614	(366)	1,229	1,223	753	835	730	
% of Revenue	Edit Row	-6%	-14%	1%	6%	1%	3%	-1%	2%	2%	1%	2%	1%	
(+) Changes in Net Long Term Deferred Tax Liabilities		(2,061)	(4,672)	(2,678)	2,604	(3,474)	(758)	- 1,324	- 844	- 645	- 1,226	- 894	- 953	
% of Revenue	Edit Row	-5%	-6%	-3%	4%	-5%	-1%	-2%	-1%	-1%	-2%	-2%	-2%	
(+) Other User Estimated Non-Cash Adjustments								-	-	-	-	-	-	
% of Revenue	Edit Row							0%	0%	0%	0%	0%	0%	
(=) Free Cash Flow		**11,385**	**30,288**	**31,527**	**6,799**	**15,279**	**17,880**	**17,118**	**16,528**	**14,842**	**11,713**	**12,580**	**13,779**	**13,221**

B. Estimation of WACC

Particulars	Weight	Cost	Wtd Avg
Equity	70.50%	10.00%	7.00%
Debt	29.50%	4.80%	1.40%
Preferred Equity	0.00%	0.00%	0.00%
WACC			**9.20%**

C. Terminal Cash Flow

The terminal value was estimated using the **Perpetuity Growth Method**, assuming a **4.2% perpetual growth rate**beyond the explicit forecast period. This assumption reflects Pfizer's position as a mature global pharmaceutical company with stable long-term cash-generating capabilities supported by its diversified product portfolio, continued investment in research and development, and sustainable operating performance.

D. Enterprise Value

The enterprise value was determined by discounting the projected free cash flows from FY2026 to FY2031 together with the discounted terminal value using the WACC of **9.2%**. The valuation incorporates Pfizer's expected future operating performance while accounting for the time value of money and the company's long-term growth prospects.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	13,221
WACC	9.2%
Perpetuity Growth Rate	4.2%
Perpetuity Value at End of Year 5	275,332
Present Value of Perpetuity (@ 9.2% WACC)	177,286
(+) Present Value of Free Cash Flows (@ 9.2% WACC)	58,222
(=) Current Enterprise Value	**235,508**
Short Term Debt	3,890
(+) Long Term Debt	60,565
(-) Cash and Marketable Securities	13,075
(-) Current Net Debt	51,380
(-) Current Preferred and Minority Interest	303
(=) Equity Value	183,825
Shares outstanding	5,699
Estimated Value per Share (USD)	**32.25**
Current Price (USD)	24.30
Estimated Upside	**33%**

E. Equity Value

The discounted cash flow valuation produces an intrinsic value of **USD 32.25 per share**, compared with the current market price of **USD 24.30 per share**, implying an estimated upside potential of **32.76%**. The valuation is also above the Bloomberg consensus target price of **USD 28.98**, indicating that Pfizer appears undervalued under the assumptions applied in the model. Consequently, the DCF valuation supports a **Buy** recommendation based on the company's long-term cash flow generation and intrinsic value.

MULTIPLE BASED VALUATION (EV/EBITDA)

The relative valuation of Pfizer was conducted using the **EV/EBITDA multiple approach**, which estimates enterprise value by applying an appropriate market multiple to the company's forecast EBITDA. Under this methodology, Pfizer's estimated value is **USD 21.80 per share**, compared with the current market price of **USD 24.30**, implying a **10.3% downside**. This valuation is also below the Bloomberg consensus target price of **USD 28.98**.

Despite the relatively lower valuation generated by the EV/EBITDA approach, this result should be interpreted with caution. The multiple-based valuation reflects prevailing market sentiment and the valuation levels at which comparable pharmaceutical companies are currently trading. It does not fully capture Pfizer's long-term cash-generating ability, pipeline potential, operational improvements, or the intrinsic value of future cash flows.

In contrast, the **Discounted Cash Flow (Perpetuity Growth) valuation estimates an intrinsic value of USD 32.25 per share**, representing an upside of **32.8%** from the current market price. Given Pfizer's strong free cash flow generation, diversified pharmaceutical portfolio, attractive valuation multiples, and sustainable dividend yield, the DCF methodology is considered more appropriate in assessing the company's long-term value.

Therefore, while the EV/EBITDA valuation indicates limited downside under current market multiples, the stronger intrinsic valuation derived from the DCF model, together with Pfizer's solid fundamentals and long-term growth prospects, supports maintaining a **Buy recommendation**. The difference between the two valuation approaches highlights the importance of considering both market-based and intrinsic valuation methods when forming an investment opinion.

(=) Free Cash Flow		**11,385**	**30,288**	**31,527**	**6,799**	**15,279**	**17,880**	**17,118**	**16,528**	**14,842**	**11,713**	**12,580**	**13,779**	**13,221**
% Margin	Edit Row	27%	37%	31%	11%	24%	29%	28%	28%	27%	22%	23%	25%	
% YoY Growth			166%	4%	-78%	125%	17%	-4%	-3%	-10%	-21%	7%	10%	
% of the Free Cash Flow to be discounted								47%	100%	100%	100%	100%	53%	
Period for Discount Factor (Mid-Year Convention)								0.23	0.97	1.97	2.97	3.97	4.73	
Discount Factor @ 9.2% WACC								0.98	0.92	0.84	0.77	0.71	0.66	
Present Value of Free Cash Flow (5 Years)								**7,811**	**15,181**	**12,483**	**9,021**	**8,873**	**4,853**	
EBITDA		14,621	29,624	43,210	12,025	23,683	24,960	22,423	22,915	20,602	17,575	18,138	19,308	18,763

EBITDA Multiple Method - Value per Share		
Terminal EBITDA at Year 5		18,763
WACC		9.2%
Exit Enterprise Value / EBITDA		9.7x
Terminal Value at End of Year 5		182,776
Present Value of Terminal Value (@ 9.2% WACC)		117,689
(+) Present Value of Free Cash Flows (@ 9.2% WACC)		58,222
(=) Current Enterprise Value		**175,911.5**
Short Term Debt		3,890
(+) Long Term Debt		60,565
(-) Cash and Marketable Securities		13,075
(-) Current Net Debt		51,380
(-) Current Preferred and Minority Interest		303
(=) Equity Value		124,229
Shares outstanding		5,699
Estimated Value per Share (USD)		**21.80**
Current Price (USD)		24.30
Estimated Upside		**-10%**

RISK ASSESSMENT

Despite Pfizer's attractive valuation and strong cash-generating capability, several risks could adversely affect the company's financial performance and investment outlook.

Business Risk

Pfizer's long-term growth remains dependent on the successful commercialization of its pharmaceutical pipeline. Delays in clinical trials, unsuccessful product launches, or lower-than-expected adoption of newly approved therapies could adversely affect future revenue growth. Furthermore, the loss of exclusivity on key products exposes the company to generic competition, which may place downward pressure on revenue and operating margins.

Financial Risk

Although Pfizer maintains a strong financial position, fluctuations in interest rates and financing costs could increase the company's cost of capital. In addition, continued investment in research and development, acquisitions, and shareholder distributions requires sustained cash flow generation to preserve financial flexibility.

Industry Risk

The pharmaceutical industry is characterized by intense competition, rapid technological advancements, and continuous innovation. Increasing competition from both branded pharmaceutical companies and biosimilar manufacturers may reduce market share and pricing power across several therapeutic categories.

Macroeconomic Risk

Macroeconomic uncertainty, including inflationary pressures, foreign exchange volatility, and slower global economic growth, may adversely affect operating costs and international earnings. As Pfizer generates a significant proportion of its revenue outside the United States, fluctuations in exchange rates remain an important source of earnings volatility.

Regulatory and Legal Risk

The pharmaceutical industry operates within a highly regulated environment. Changes in healthcare policies, drug pricing regulations, reimbursement frameworks, or delays in regulatory approvals could materially impact profitability. Additionally, ongoing litigation and intellectual property disputes remain inherent risks within the sector.

CONCLUSION

Pfizer represents an attractive long-term investment opportunity supported by strong fundamentals, resilient cash flow generation and a diversified portfolio of innovative pharmaceutical products. Despite the normalization of post-pandemic revenues, the company continues to demonstrate healthy operating profitability, disciplined capital allocation and the financial flexibility required to sustain future growth through continued investment in research and development.

Our valuation analysis presents two perspectives. The Discounted Cash Flow valuation indicates that the shares are materially undervalued, estimating an intrinsic value of **USD 32.25 per share**, representing approximately **32.8% upside from** the current market price. While the EV/EBITDA valuation provides a more conservative assessment, we believe this methodology primarily reflects prevailing market sentiment and does not fully capture Pfizer's long-term intrinsic value or sustainable free cash flow generation.

Although investors should remain mindful of risks relating to patent expirations, regulatory developments, pricing pressures and competitive dynamics within the pharmaceutical industry, we believe these risks are adequately balanced by Pfizer's diversified product portfolio, robust pipeline, strong balance sheet and attractive shareholder return profile.

Taking into consideration the company's business quality, financial strength, valuation and long-term growth prospects, we conclude that Pfizer remains attractively valued for long-term investors. Accordingly, we assign a **BUY recommendation** with a long-term investment horizon, as we believe the current market valuation offers an attractive opportunity to accumulate shares at a discount to their intrinsic value.